



COUNTY OF SONOMA

575 ADMINISTRATION
DRIVE, ROOM 102A
SANTA ROSA, CA 95403

SUMMARY REPORT

Agenda Date: 9/17/2019

To: Board of Supervisors

Department or Agency Name(s): Transportation and Public Works

Staff Name and Phone Number: Johannes J. Hoevertsz 707-565-2231

Vote Requirement: 4/5th

Supervisory District(s): Fifth

Title:

9:00 A.M.- Jenner Water System Financing

Recommended Action:

That the Board hold a public hearing on the annual written report for County Service Area No. 41 Jenner Zone of Benefit and adopt the resolution ordering the annual water charge to be collected on the County of Sonoma tax roll for the total amount of \$65,458 for Fiscal Year 2019-2020. (Fifth District) (4/5th Vote Required)

Executive Summary:

State law and regulations require that an annual public hearing be held by the Board of Supervisors to direct that annual loan repayments be collected on the County of Sonoma tax roll. Staff is recommending that the Board approved the attached resolution ordering that the annual repayment charge for two loans used for water system improvements be collected on the County of Sonoma tax roll for the total amount of \$65,458 for Fiscal Year 2019-20. There is no change in annual charges from prior years.

Discussion:

Background

The Jenner Water System is located in the unincorporated County on the Pacific Ocean (see Attachment 3). The system has 124 accounts, all with a 5/8-inch meter. Of the total accounts, 109 are residential customers and 15 are commercial customers. Several of the commercial property owners have more than one meter on their property. There are 115 property owners that have two annual assessments on the County's tax roll to repay the loans obtained from the State of California to rehabilitate the water system.

Annual Written Report

Each fiscal year, Health and Safety Code section 5473 requires that the Board of Supervisors, as the governing board for the County Service Areas, hold a public hearing and adopt a resolution directing that the annual charge levy be collected on the County's property tax rolls. The total annual charge levy to be collected on each parcel is detailed on the attached written report, which is a listing of the Assessor's parcel numbers and the dollar amount of the annual charge levy. The amount of anticipated revenues from the charge levy and the biannual payments to the State of California were included in the Fiscal Year 2019-20 adopted budget for the

Jenner Water System debt service funds.

On July 18, 1989, the Board of Supervisors authorized the Director of Transportation and Public Works to execute the 30-year agreement with the California State Department of Water Resources, in the amount of \$956,800, to cover the costs of acquiring the Jenner Water System from the Jenner Water Works, and purchasing and installation of water main and supply lines, pumps and pumping equipment, a 100,000 gallon storage tank, water treatment system, and building. The annual charge levy for repayment of this loan is \$430 per equivalent single family dwelling per year for the term of the loan obligation. The two regular payments totaling \$52,570 will be made in Fiscal Year 2019-20 after which there will be a remaining balance of \$55,773. The final payment for this loan is anticipated to be made in Fiscal Year 2021-22.

On December 16, 2008, the Board approved a 20-year agreement with the California Department of Public Health for a Safe Drinking Water Loan, in the amount of \$120,000, to fund the purchase, transportation, and installation of a new micro-filtration water treatment plant purchased from the California Water Service Corporation for the then 15-year-old treatment facility in order to meet more stringent State of California water quality standards. The annual charge levy for repayment of this loan is \$57 per equivalent single family dwelling per year for the term of the loan obligation. The final payment for this loan will be made in Fiscal Year 2029-30.

The total annual charge to be collected on each parcel is detailed on the attached written report. Annual charges are budgeted in the approved Fiscal Year 19-20 budget for the Jenner Water District debt service funds.

Notice of a Public Hearing was published on September 2, 2019, once a week for two consecutive weeks in a newspaper of general circulation whose distribution includes the Jenner Water District.

Prior Board Actions:

9/11/18: Board adopted Resolution 18-0370 ordering the annual water charge to be collected on the County of Sonoma tax roll for the amount of \$65,458 during Fiscal Year 2018-19.

9/12/17: Board adopted Resolution 17-0333 ordering the annual water charge to be collected on the County of Sonoma tax roll for the amount of \$65,458 during Fiscal Year 2017-18.

12/16/09: Board approved a 20-year agreement with the California Department of Public Health. □

07/18/89: Board directed the Director of the DTPW to execute a 30-year agreement with the California State Department of Water Resources.

FISCAL SUMMARY

Expenditures	FY 19-20 Adopted	FY20-21 Projected	FY 21-22 Projected
Budgeted Expenses	\$65,458	\$65,458	\$65,458
Additional Appropriation Requested			
Total Expenditures	\$65,458	\$65,458	\$65,458

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Funding Sources			
General Fund/WA GF			
State/Federal			
Fees/Other	\$65,458	\$65,458	\$65,458
Use of Fund Balance			
Contingencies			
Total Sources	\$65,458	\$65,458	\$65,458

Narrative Explanation of Fiscal Impacts:

The annual repayment charges for the State of California loans used for water system improvements will be collected on the County of Sonoma tax roll for the total amount of \$65,458 for Fiscal Year 2019-20. Appropriations for the revenue and corresponding expenditures were included in the Jenner FY 2019-20 adopted budget, and there are no impacts to the General Fund.

Staffing Impacts:			
Position Title (Payroll Classification)	Monthly Salary Range (A-I Step)	Additions (Number)	Deletions (Number)

Narrative Explanation of Staffing Impacts (If Required):

None

Attachments:

1. Charge Levy Resolution.
2. County Service Area #41 Jenner Zone of Benefit Charge Levy User Inventory ("Written Report").
3. Map of the Jenner Zone of Benefit.

Related Items "On File" with the Clerk of the Board:

None